well in retirement. As with many of these rules, the ratcheting rule could be implemented in numerous ways.

In the baseline case for Kitces's rule, spending adjusts for inflation throughout retirement, with the option to increase by an additional 10 percent any time the nominal value of the portfolio jumps more than 50 percent above its initial level. To limit spending increases, the 10 percent spike is only allowed once every three years when the portfolio remains consistently above the 150 percent level.

Kitces notes that this version of the rule might ultimately be too conservative in creating the conditions to allow for spending increases, but it nonetheless provides a basic idea of how to structure rules of this nature. The natural fear with increasing spending is that it will force larger subsequent cutbacks. But as William Bengen found when analyzing thresholds for the floor-and-ceiling rule, the ceiling threshold has little impact on sustainable spending. Historical data shows that when retirement started well, spending increases did not jeopardize the spending plan.

Exhibit 6.11 shows the historical paths of spending and wealth when implementing this rule with a 4 percent initial spending rate. Real spending remains above the initial 4 percent level in any simulation, though just as with constant inflation-adjusted spending, some cases show wealth on the edge of depletion. In other cases, real spending more than doubled by the end of thirty years.

Exhibit 6.11

Time Path of Real Spending and Wealth

Kitces's Ratcheting Rule

For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds